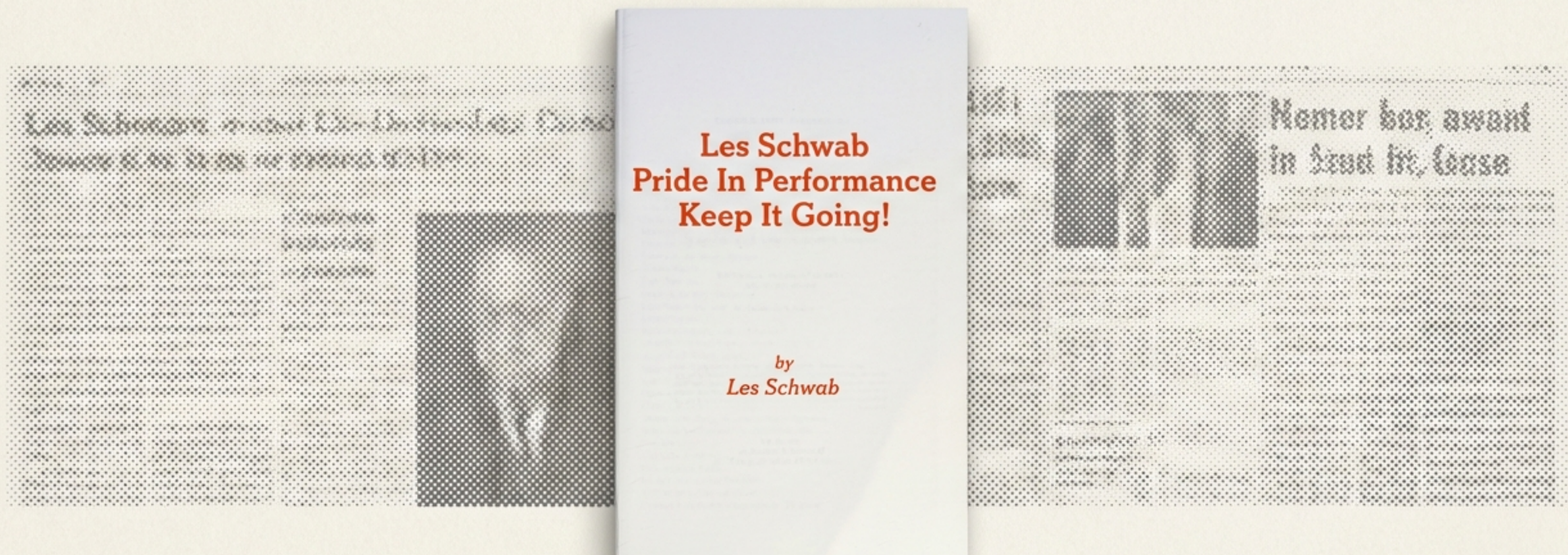


PRIDE IN PERFORMANCE: THE LES SCHWAB STORY

How a boy from a logging camp built an empire by betting on people.



Based on the memoirs of Les Schwab (1917–1985+)



THE UNIVERSITY OF THE LOGGING CAMP

THE SETTING: Born in a homestead shack (1917). Raised in the Brooks Scanlon logging camps. Small two-room homes, a “two-holer,” and no running water.

THE EDUCATION: Attended school in a railroad boxcar with crooked windows. Les jokingly claims a “B.S. Degree”—graduating from “Brooks Scanlon University.”

THE LESSON: We were all taught to work at very young ages. It seemed the normal thing to do.

“Today that would be poverty, but the homes were clean and people had fun.”

TOO PROUD TO COMPLAIN

KEY PLOT POINT: Orphaned at 15. Mother died of pneumonia; Father died of alcoholism. Les supported himself delivering The Oregon Journal and The Bulletin.

THE TURNING POINT: Selling subscriptions door-to-door taught him he could influence his own income.



THE HUSTLE: At age 16, he managed the entire city of Bend for the Oregon Journal.

THE RESULT: Earnings of \$175–\$200/month (more than his high school principal).

“I was proud; poor, but I had a lot of pride.”

JANUARY 1, 1952: THE \$3,500 BET

\$3,500

Total Investment

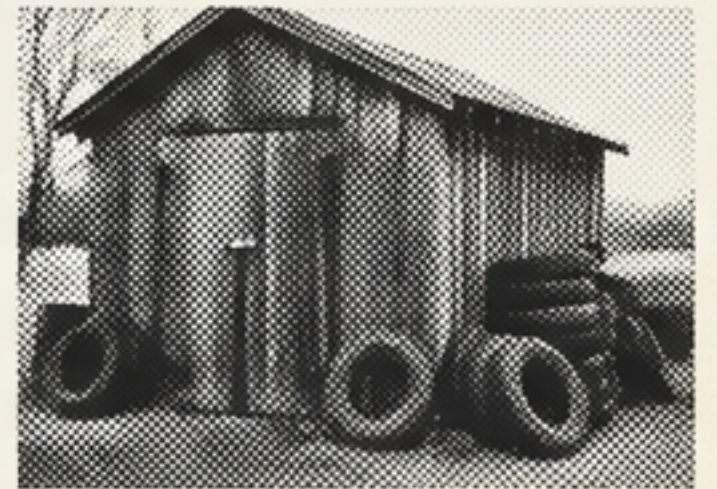
THE BUY: O.K. Rubber Welders in Prineville, Oregon.

THE VENUE: A shed with an outdoor water pump and a “two-holer” out back.

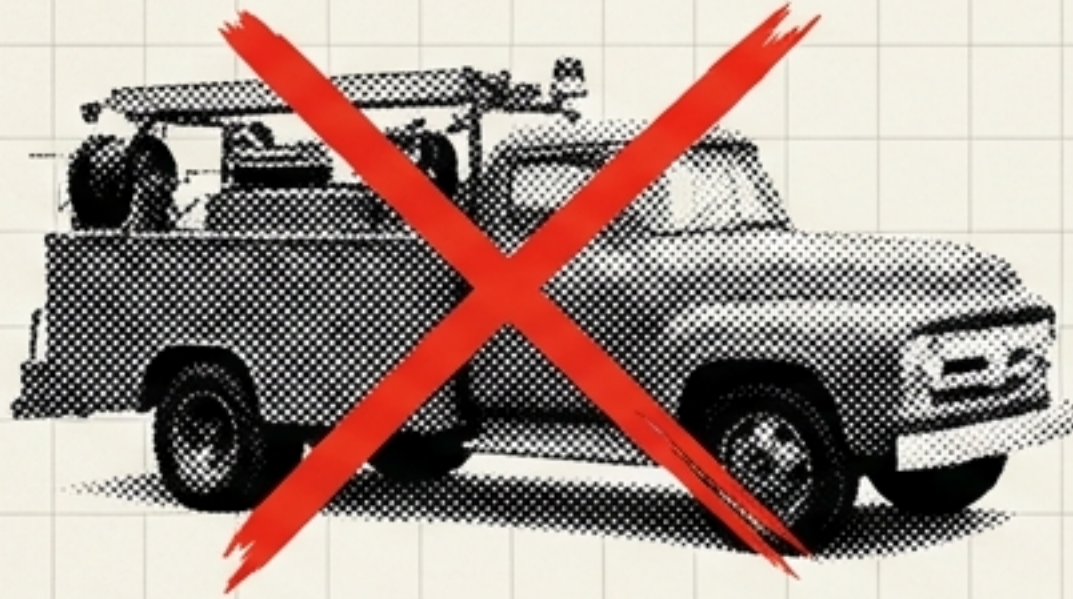
THE CAPITAL: Borrowed on life insurance + sale of home.

THE INVENTORY: \$2,800 paid immediately for retread rubber; new tires were on consignment.

“I had never fixed a flat tire in my life.”



THE ANTI-SERVICE TRUCK STRATEGY



THE COMPETITION: \$6,000 invested in service trucks to chase customers at mills.
25-40% discounts given.



THE SCHWAB WAY: "Supermarket" Style Tires.
No trucks. Customers come to us for 6-day-a-week service. Only 15% discount given.

SALES GROWTH



"People did come directly to my stores... business was picking up constantly."

YOU CAN'T CLONE YOURSELF

The Birth of the Profit Sharing Program

THE CHALLENGE: 1953.
Prineville is bulging.
Schwab buys a lot in
Redmond but cannot
run two stores at once.

THE INSIGHT:
A salary isn't enough
to make a man care
like an owner.

THE PROTOTYPE:
Frank Canady hired
to run Redmond.



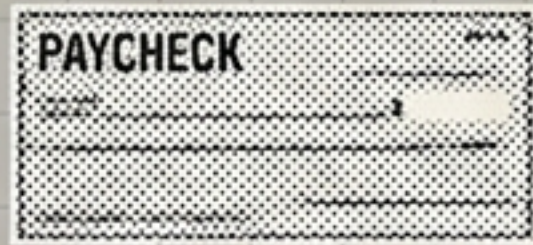
THE DEAL

1. Schwab charges \$200/month rent.
2. Canady takes \$400/month salary.
3. **SPLIT THE REST 50/50.**

This was the start of the profit sharing program
that we still use today.

PARTNERSHIP ECONOMICS

STANDARD EMPLOYEE



Salary Only.
No skin in the game.

LES SCHWAB PARTNER



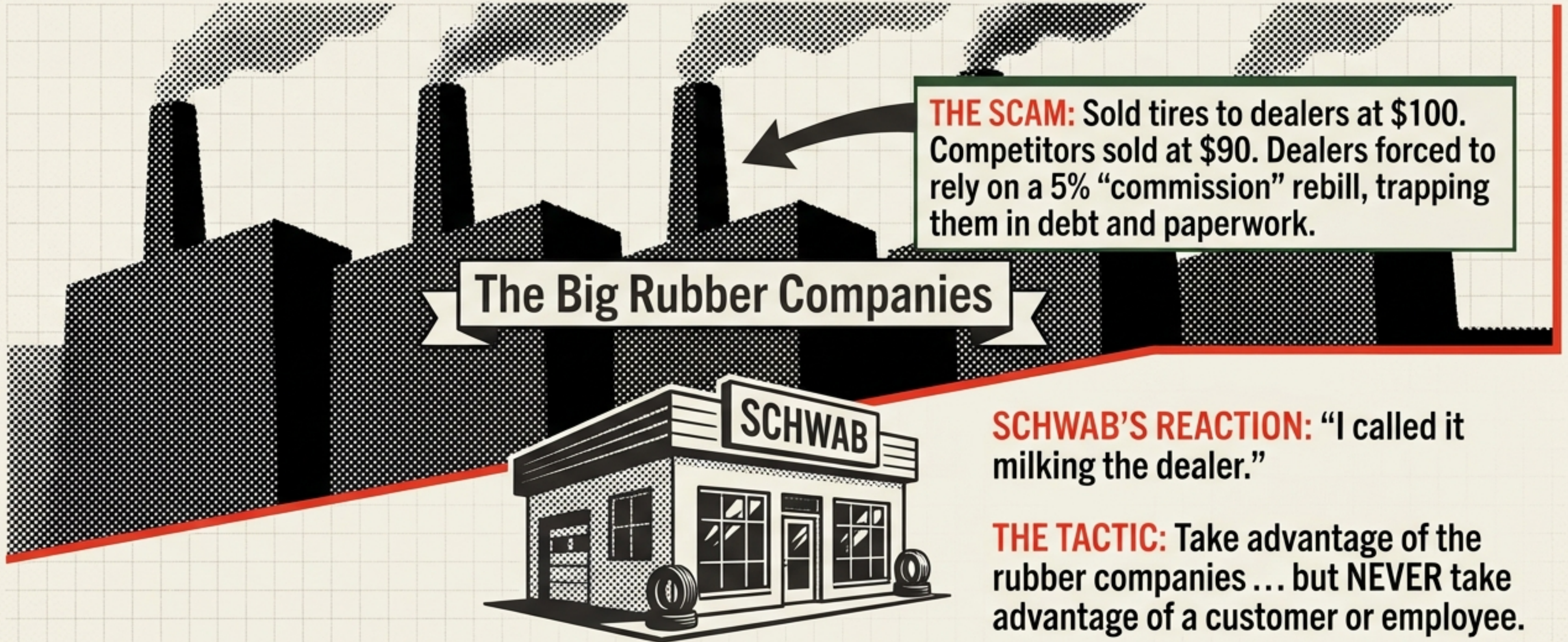
Salary + 50% of Store Profits.

THE RULE: The manager must leave their profit share in the store until their stake equals the owner's investment.

THE PHILOSOPHY: If the store failed, I would go back to Prineville.
If the store succeeded, we share everything.

"I was going to furnish the money. They furnished the performance."

FIGHTING THE “PHONEY POLICIES”



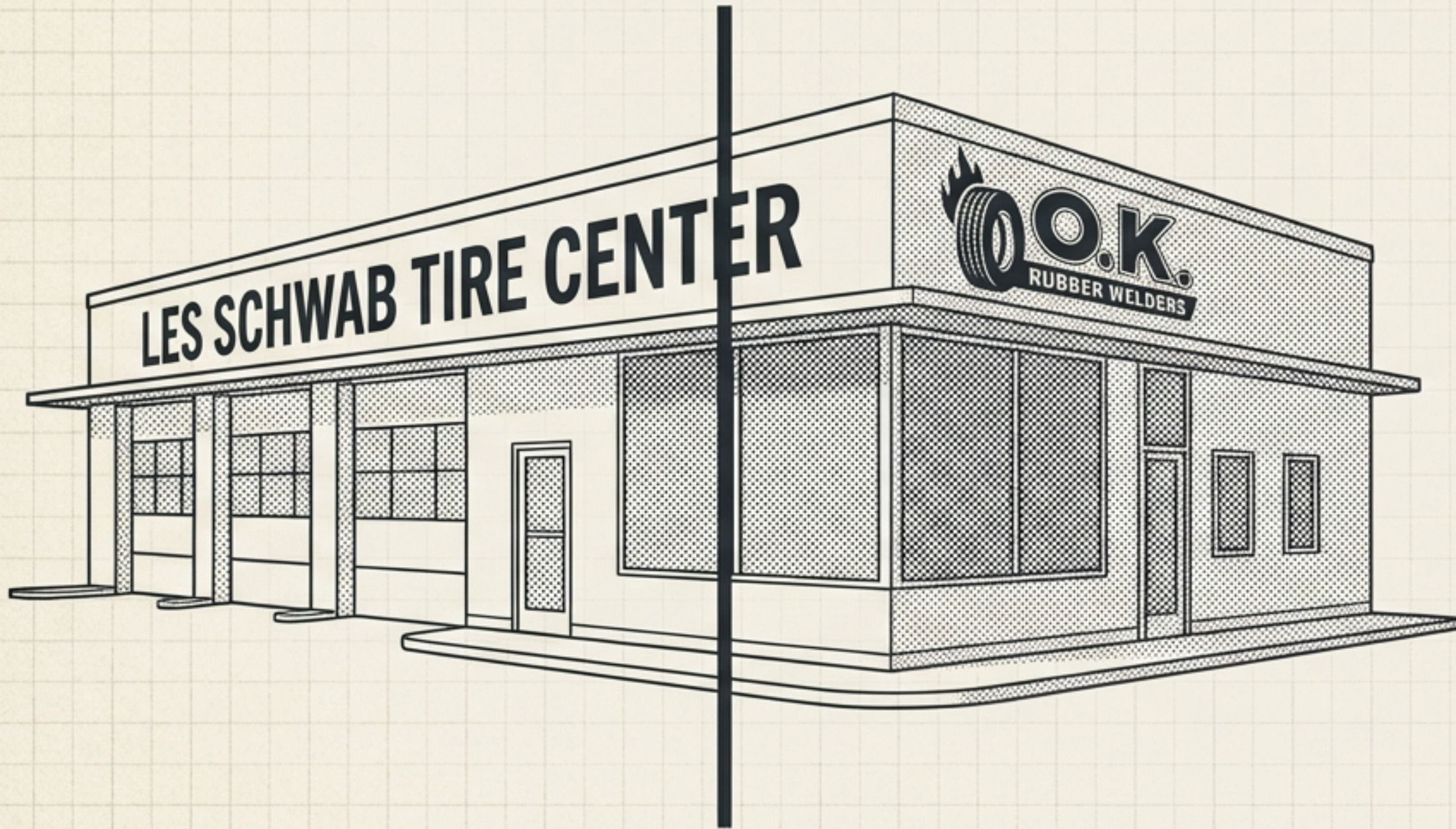
THE SCAM: Sold tires to dealers at \$100. Competitors sold at \$90. Dealers forced to rely on a 5% “commission” rebill, trapping them in debt and paperwork.

The Big Rubber Companies

SCHWAB'S REACTION: “I called it milking the dealer.”

THE TACTIC: Take advantage of the rubber companies ... but NEVER take advantage of a customer or employee.

THE FIGHT FOR THE NAME



THE CONFLICT:

O.K. Rubber demanded Schwab exit Bend/Madras or lose his franchise.

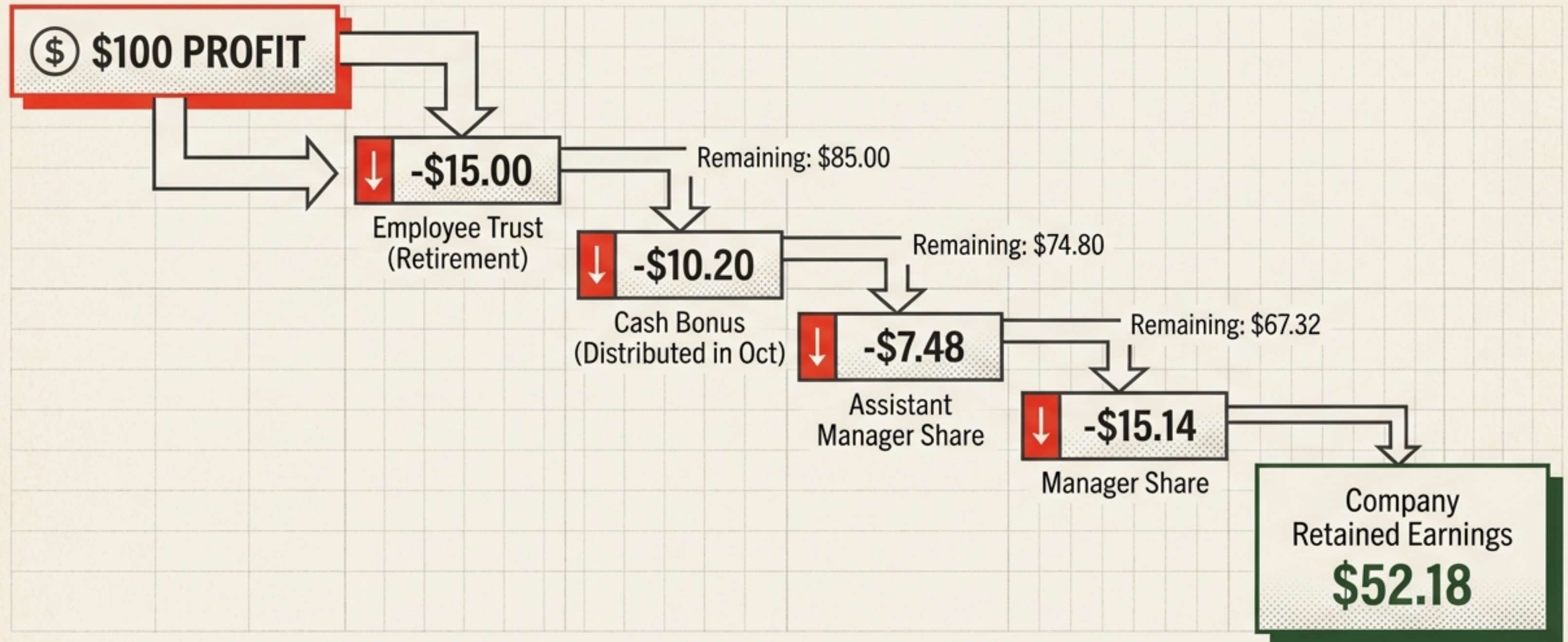
THE BLUFF:

Schwab refused. "Say it in court."

THE COMPROMISE:

He painted "Les Schwab" on the left to build his brand, and kept the "O.K." logo on the right to keep the franchise rights.

THE '100 STORY': WHERE EVERY DOLLAR GOES



Almost 50% of profits are shared with the people doing the work.

OPEN BOOK POLICY

THE POLICY:

If you share, do it openly and honestly.

THE PHILOSOPHY:

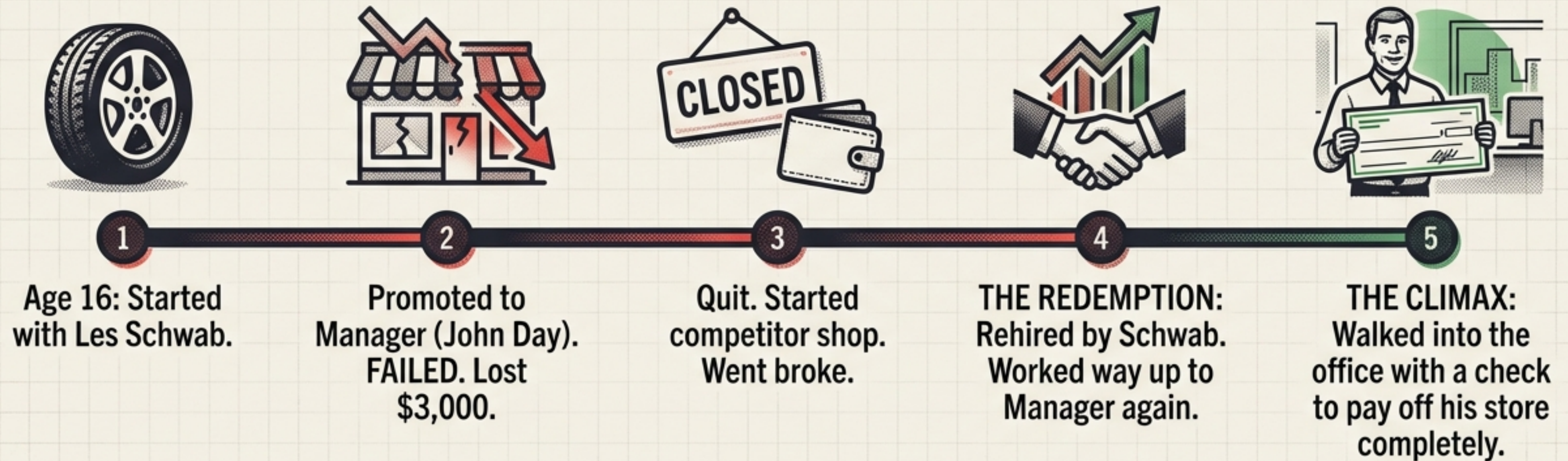
Don't get jealous if employees make money.

15,75.00	0.92.00	76.6.00
700.24	1,226.00	1,029.50
792.27	1,183.00	1,964.50
783.97	1,022.00	1,067.50
777.71	1,250.00	2,50.70
793.85	871.00	7,64.00
764.02	1,520.00	2,07.00
232.15	920.00	8,24.10
229.32	760.00	8,46.00
532.15	1,120.00	4,80.00
478.22	880.22	4,36.00
628.63	1,920.00	4,34.00
439.40	2,022.00	8,64.50
460.09	7,846.00	6,14.00
967.04	11,911.00	8,54.22
629.00	709.00	9,8.50
743.89	960.00	1,457.00
760.12	2,971.00	11,23.70
738.12	1,325.00	9,129.70
739.64	6,000.00	10,100.00
735.00	4,721.00	8,80.30
1015.34	6,01.57	9,58.70
522.02	767.00	1,660.00
734.80	1,152.10	1,271.90
097.01	1,162.00	1,890.10
322.40	2,100.00	3,97.00

“If you make people under you successful, what happens to you? Aren't you also then successful?”

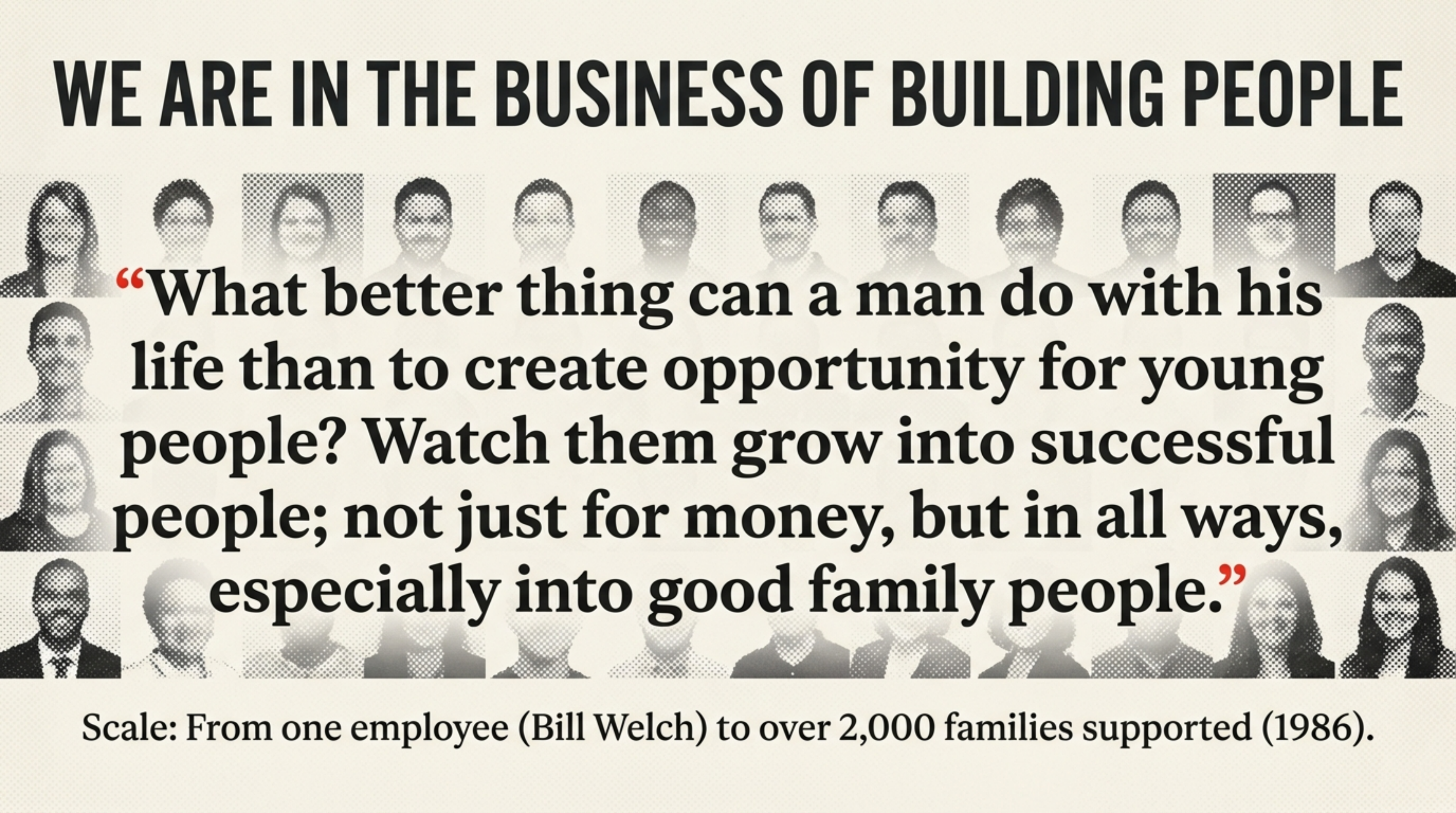
This transparency eliminated the “Labor vs. Management” friction found in other companies.

THE LONG GAME: THE DICK HAMMACK STORY



“ It is best for the man to stay with the company... Pride makes them want to leave, and I can understand that.” ”

WE ARE IN THE BUSINESS OF BUILDING PEOPLE



“What better thing can a man do with his life than to create opportunity for young people? Watch them grow into successful people; not just for money, but in all ways, especially into good family people.”

Scale: From one employee (Bill Welch) to over 2,000 families supported (1986).

THE NAME ON THE SIGN



THE ULTIMATUM: Should we fail to follow these policies toward customers and employees, I would prefer that my name be taken off the business.

THE FINAL CHARGE: Capitalism works best when you share.

KEEP IT GOING!